



micron™

Micron Technology | NASDAQ: \$MU

Recommendation: Long

Price (4/14/2026): \$465.66

Target Price: \$675

Implied Upside: 45%

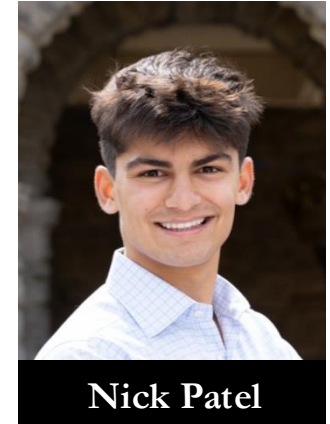
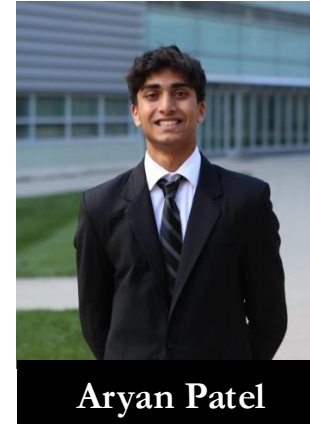
Investment Horizon: EOY CY '27

Exit Method: 6.75x CY27 E EPS

BCI Technology Sector

Team

BCI SP26 Technology Team



Executive Summary

We recommend a long position in Micron at **\$465.66** (4/14/26), targeting **\$675** by EOY CY 2027 (45% implied upside)

Investment Summary

\$675	Long	EOY CY '27	6.75x CY27E EPS
Price Target	Position	Target Exit Date	Exit Multiple

I US Strategic Asset

Only domestic DRAM IDM. CHIPS Act **\$6.165B** grant + **\$12.5B** ITC + **\$7.5B** federal loans + **\$5.5B** NY State = **~half of US fab cost offset**. Hyperscalers pay a "security premium" to avoid East Asia single-point-of-failure (2026 AI capex **~\$700B** across Amazon/Google/Meta/Microsoft/Oracle).

II Memory Wall Supply Shortage

Industry DRAM production growth of **+17-19%** trails demand of **mid-20%** Y/Y in CY26 (Edgewater 4/14/26). HBM wafer allocation cannibalizes standard DRAM **3:1**. No new capacity until mid/C2H27 (Idaho Fab 1; Hynix Yongin). SK Hynix chair: shortage through 2030.

III NVIDIA Contract Lock-In

First-to-volume HBM4 for Vera Rubin at GTC 3/16/26 (**2.8 TB/s; 2.3x HBM3E; 20% better power**). **~78%** of FY27 revenue contracted via multi-year SCAs with prepayment forfeiture, first time in industry history that customers (not suppliers) initiated long-term contracts. Structurally inverted vs. prior cycles where LTAs signaled cycle peaks.

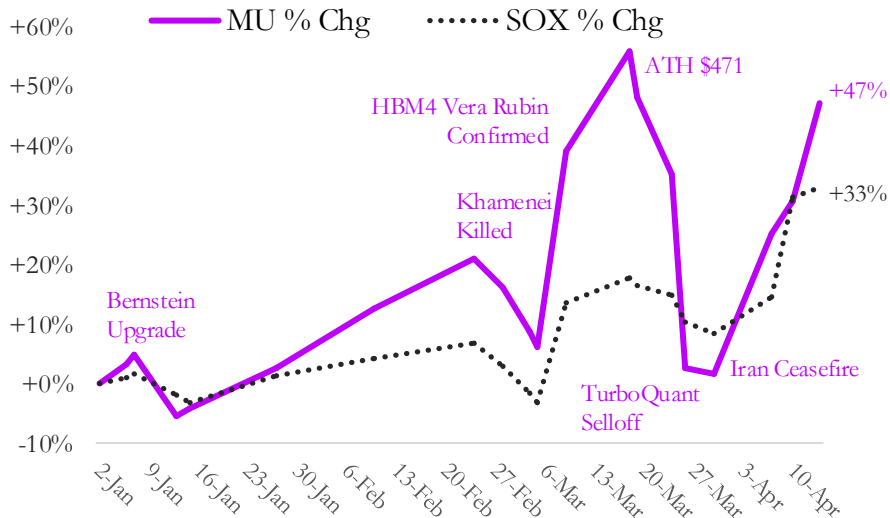
IV SOCAMM2 Supercycle

Micron is **LARGEST** supplier (**40-50%**) of NVIDIA's Vera CPU SOCAMM2/LPDDR5X, the *inverse* of HBM4 share. Rack tonnage scales from **GB200 17 TB** to **VR200 54 TB (3.2x)** to **VR300 NVL576 365 TB (21x total)**. Market has not priced this second product. **~\$9.9B** incremental revenue by CY27 at **45%** share (**~9%** of MU revenue) on realistic **VR300** ramp assumption.

Company Summary

Business Overview

- Micron is the **#3** global memory and storage company, operating in a DRAM/ NAND oligopoly with Samsung (**36.0%** DRAM share) and SK Hynix (**32.1%**)
- As of 4/14/2026, Micron has **~\$525B** market capitalization and **~\$536B** in enterprise value. EV trades at **~7.7x** NTM EBITDA on consensus FY26E EBITDA of **~\$70B**
- Micron has outperformed on technology, reaching HBM4 volume production first (CQ1-2026), and leads the industry on the 1-gamma EUV DRAM production node. Samsung and SK Hynix have since followed on HBM4, but Micron retains **11 Gbps** pin-speed
- With Micron now at the 52-week high after a **+9.2%** session on 4/14, the setup has shifted from 'buy the dip' to 'accumulate the breakout' as FQ3-26 earnings (Jun 2026) and multi-year SCA signings drive continued earnings re-rating. **78%** of FY26E revenue is contracted



Industry Overview

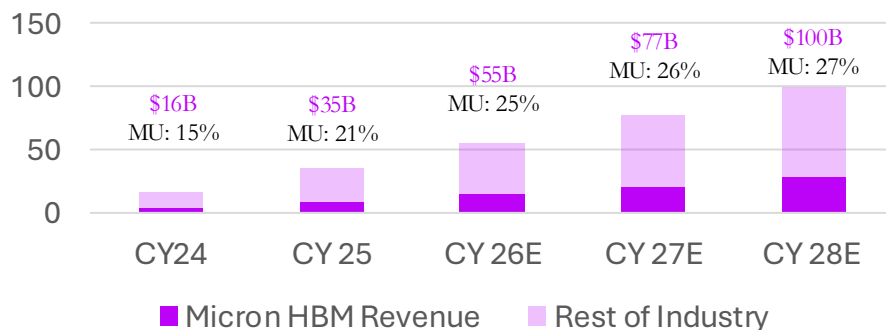
The memory semiconductor industry is undergoing a structural transformation driven by AI demand, creating a *once-in-40-year* supply shortage that favors oligopoly incumbents

Strategic Positioning in a DRAM Oligopoly

	Samsung	SK Hynix	Micron
DRAM Share	36%	32.1%	22.4%
NAND Share	35%	21%	12%
HBM Share	29%	51%	20%
Latest Q GM	58%	58%	74.9%
Leading DRAM Node	1b (EUV transition)	1b (DUV)	1-gamma (EUV)
HBM Gen Shipping	HBM3E + HBM4 shipping (yield <60% per Korean sources 4/15/26)	HBM3E + HBM4 volume (cut 20-30% per ZDNet 4/14/26)	HBM4 12-hi Vera Rubin volume (GTC 3/16/26, 2.8 TB/s)

Micron is first to volume HBM4 production for NVIDIA Vera Rubin (GTC 3/16/26) with 2.8 TB/s bandwidth (2.3x HBM3E) and 20% better power efficiency. Samsung HBM4 yields below 60% (per Korean industry sources) limit near-term scale. SK Hynix's HBM4 pullback redirects volume to HBM3E where Micron is 2nd source.

TAM HBM Revenue Growth and Projection



HBM TAM pulled forward: Micron guided \$100B HBM market by CY2028 (prior guidance was 2030). Source: Micron FQ1-26 earnings call.

Two Metrics Memory Investors Care About

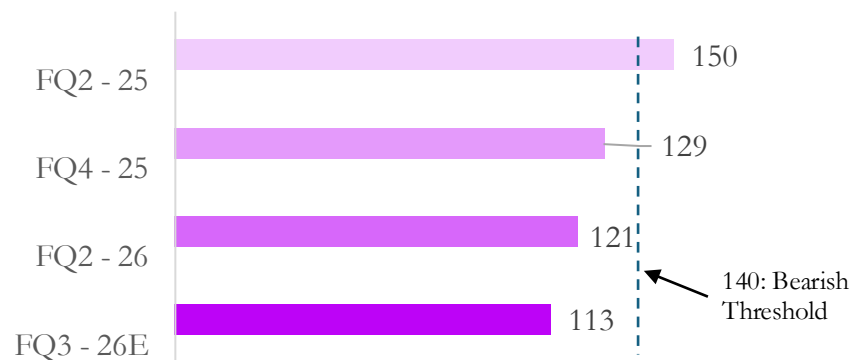
1. Supply / Demand Spread

Indicator for memory pricing. Negative spread = tight supply = prices rising

	CY24	CY25	CY26E	CY27E
Supply Growth	8%	12%	18%	18%
Demand Growth	15%	20%	24%	20%
Spread	-7%	-8%	-6%	-2%

2. Days Inventory Outstanding

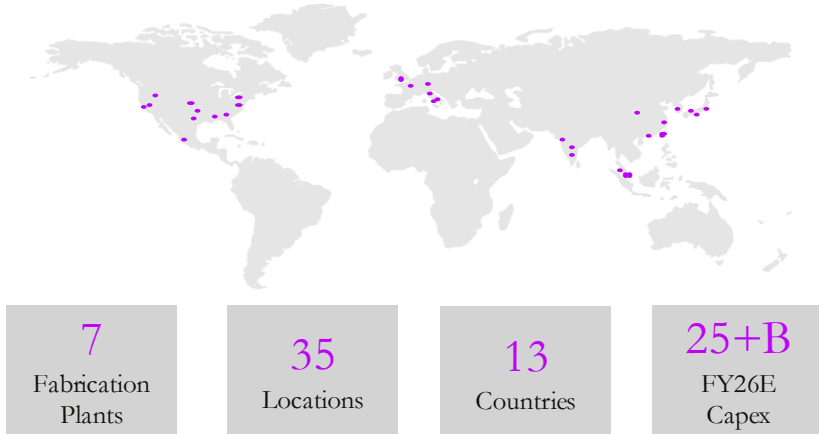
Leading indicator of cycle turns. Below 120 days = bullish. Above 140 = Bearish



Company Overview

Micron is *one* of only *three* DRAM manufacturers globally, positioned as the technology leader in an AI-driven structural supply shortage

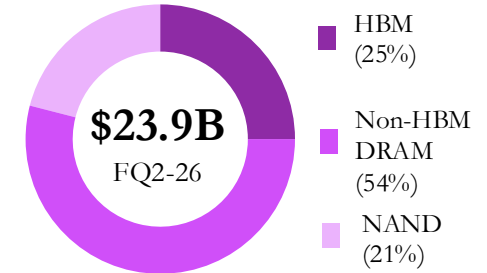
Global Manufacturing Footprint



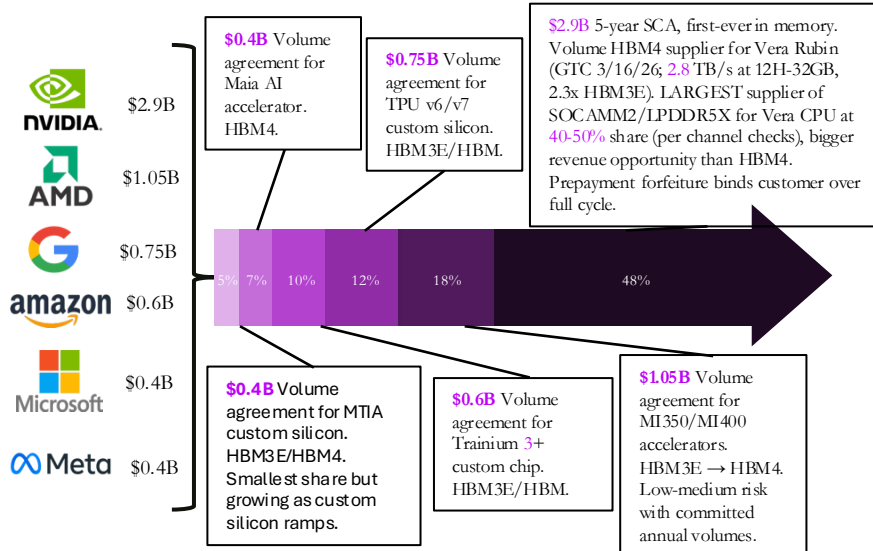
Key

Revenue Streams

Micron's revenue is driven by DRAM (79% of total), with HBM emerging as the fastest-growing segment at 25% of revenue, up from 12% in FQ1-25. NAND contributes 21%, primarily through enterprise SSDs and mobile storage.



HBM Customer Contract Revenue Share



Contract Structure Comparison

	Pre-2026	2026+
Upfront	1-yr annual	3-5 yrs SCAs
Duration	Soft, cancellable	Binding, prepayment forfeiture
Enforcement	Fixed quarterly negotiation	Post-Settlement, captures upside
Pricing	None	10-30% of TCV

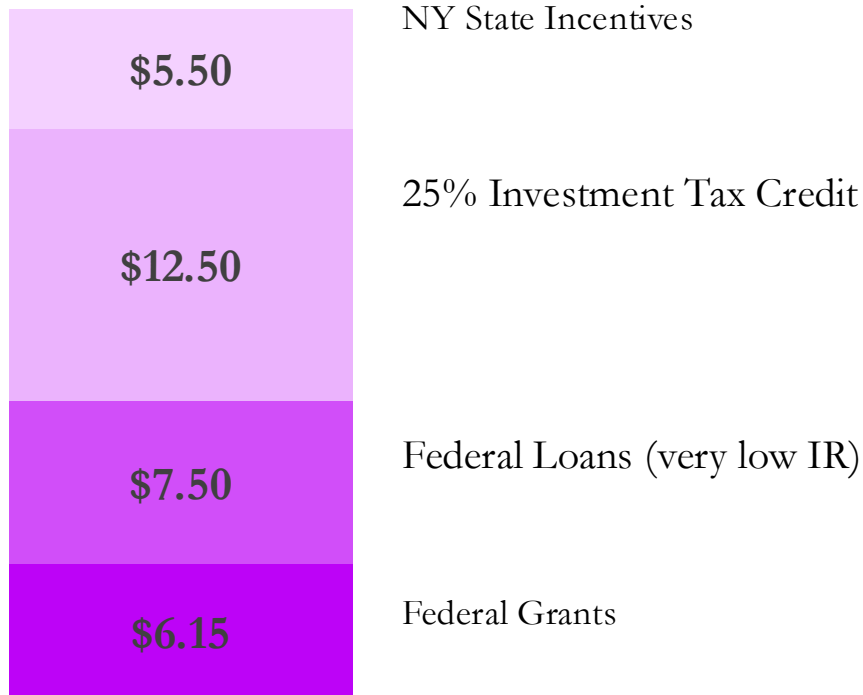
Thesis A — US Based Company

Why Micron's structural US advantages, CHIPS Act funding and hyperscaler security premium, sustain the premium through the full memory cycle

Poster Child

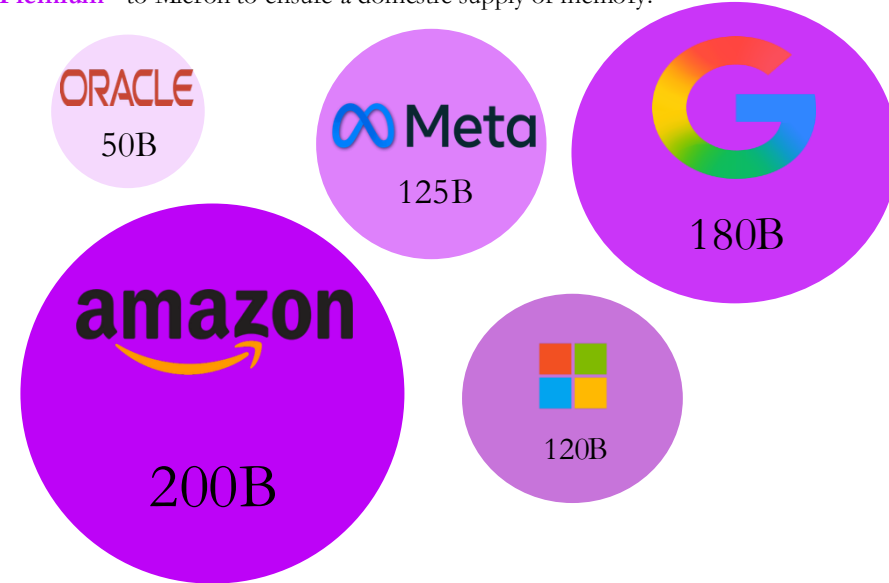
"Micron is the 'poster child' for the **U.S. CHIPS Act**. Because the U.S. **government** views Micron as a critical national asset, they are essentially subsidizing Micron's growth with billions in grants and tax credits. This lowers Micron's costs in a way that foreign companies can't match on U.S. soil. Nearly half of the total cost **Micron** should pay for gets offset by **government loans, subsidies, tax exemptions**, and **state incentives**.

Total Funding (In Billions)



700+ Billion Dollar Safe Haven

Hyperscalers (Microsoft, Google, Amazon) are terrified of a conflict in East Asia that could cut off their supply from Samsung or SK Hynix (both South Korean). To protect their **\$300B+ AI investments**, they are willing to pay a **"Security Premium"** to Micron to ensure a domestic supply of memory.



Direct Lanes

"Micron maintains direct supply lines from its **U.S. factories** to domestic **data centers**, allowing major hyperscalers to **hedge against global volatility**, including regional conflicts, trade tariffs, and supply chain disruptions. As a U.S.- based leader, **Micron** eliminates the 'geopolitical tax' associated with foreign suppliers. Furthermore, because the **U.S. government** strategically backs **Micron**, customers have greater long-term confidence in their ability to meet critical AI infrastructure goals.

Thesis B – Memory Wall

AI is fundamentally constrained by memory bandwidth, creating explosive demand for HBM that Micron is best positioned to capture

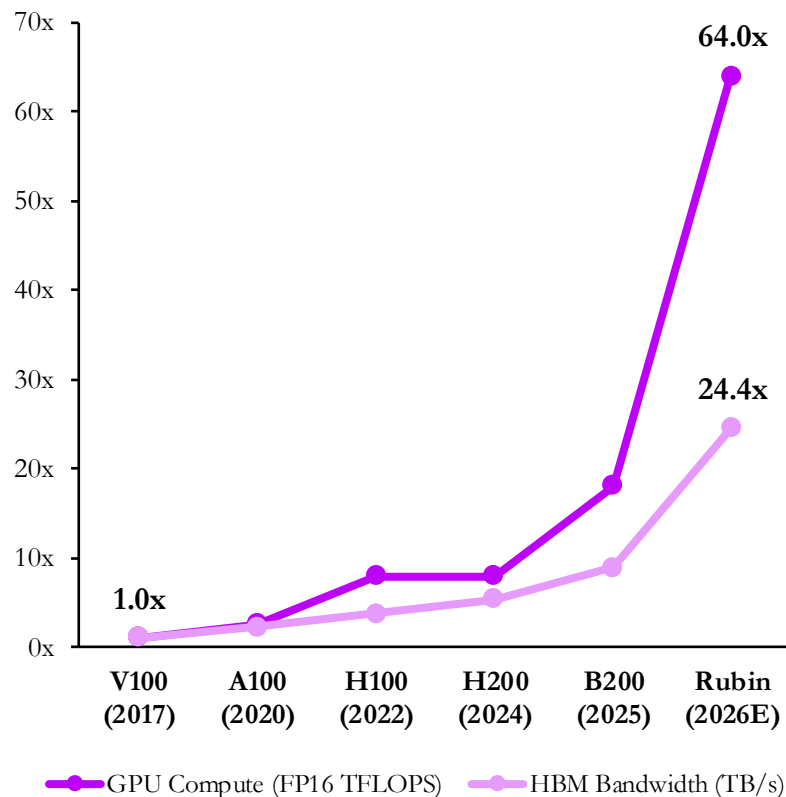
The Problem

- AI models are scaling faster than the memory feeding them. GPU compute scales **3.0x** every 2 years, but DRAM bandwidth only **1.6x**. This has created a key bottleneck over time.
- Every new GPU generation requires more HBM per chip, causing increasingly higher memory demand. The HBM TAM is projected to grow from **\$16B to \$100B by CY2028**.
- Traditional DRAM can't close this gap. **Only HBM** has the bandwidth density that can support mass AI infrastructure buildout.

Why Micron Wins

- HBM4 delivers **2.3x HBM3E bandwidth** (2.8 TB/s, 36GB 12-Hi) with **20% better power efficiency**.
- Micron is first to volume HBM4 production for NVIDIA Vera Rubin (GTC 3/16/26). Samsung HBM4 yields **<60%** (per Korean industry sources) limit near-term scale. SK Hynix is **cutting HBM4 supply 20-30%** in favor of HBM3E (per supply-chain reads).
- 1-gamma EUV node produces more chips per wafer, giving Micron a structural cost advantage. **GM 74.4% FQ2-26 (record), guided ~81% FQ3-26E**.
- HBM's **3:1 wafer trade ratio** cannibalizes DRAM supply. No new wafer fabrication capacity until Idaho Fab 1 (H2-2027).
- 78% of revenue contracted** via multi-year SCAs = revenue floor.

GPU Compute vs. Memory Bandwidth Scaling Since 2017



Since the V100 in 2017, GPU compute has scaled **64x** while memory bandwidth has grown only **24x**.
Over the last 20 years, peak GPU FLOPS are up **60,000x** vs memory bandwidth up only **100x**.

Thesis C – Nvidia Contract

As AI compute demands accelerate, Micron's co-development partnership with Nvidia locks it into every generation of GPU architecture, creating durable multi-year revenue visibility unlike anything in memory industry history.

The Nvidia Relationship

- Micron is one of only three qualified HBM4 suppliers globally - and the only U.S.-based one - supplying NVIDIA's **Vera Rubin** GPU platform in volume as of GTC 3/16/26 with 2.8 TB/s bandwidth (2.3x HBM3E). Every Vera Rubin chip requires HBM4, and hyperscalers deploying Vera Rubin pulls demand directly through Micron.
- The **5-year Supply** Commitment Agreement locks in revenue across multiple product generations and through up and down cycles.

Prior Cycles

- Historically Micron sold memory on the spot market, meaning prices could collapse overnight.
- The Nvidia relationship fundamentally changes this. **~78%** of revenue is now contracted or committed. HBM supply for **ALL** of CY2026 is fully allocated.
- For the first time in industry history, customers initiated long-term contracts - prior cycles always saw suppliers begging customers for LTAs at cycle peaks. The 5-year SCAs include prepayment forfeiture and pricing floors. This is an inversion of the buyer/supplier dynamic that the market has not yet priced into Micron's commodity-cyclical multiple.
- Micron is satisfying only **50–65%** of customer demand - meaning it is supply-constrained, not demand-constrained.

FY-25 Gross
Margin
39.8%



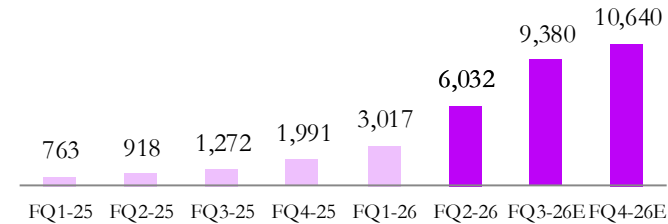
FQ2-26 Gross
Margin
75%



FQ3-26E
Gross Margin
81%

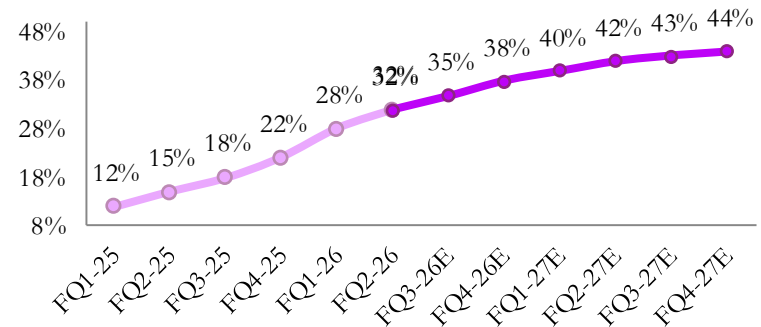
HBM Revenue Ramp

Micron HBM Quarterly Revenue — FQ1-25 through FQ4-26E



FQ3-26E and FQ4-26E estimates based on base case model assumptions.
Implied annualized HBM run is consistent with Barclays bull case

HBM % DRAM Revenue



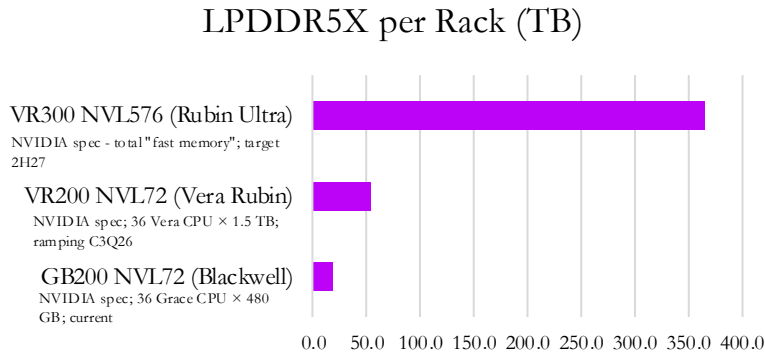
Gross margin growth is driven directly by the supply relationship with Nvidia. Unlike commodity memory where pricing is set by the spot market overnight, Nvidia's multi-year Supply Commitment Agreement locks in pricing floors across product generations

Thesis D – SOCAMM2 / LPDDR5X Supercycle

Beyond HBM4: Micron is the LARGEST supplier (40-50% share) of NVIDIA's fastest-scaling memory product - a second structural lock-in the market hasn't priced

The Scaling Math

LPDDR5X Per NVIDIA Rack - Generational Scaling



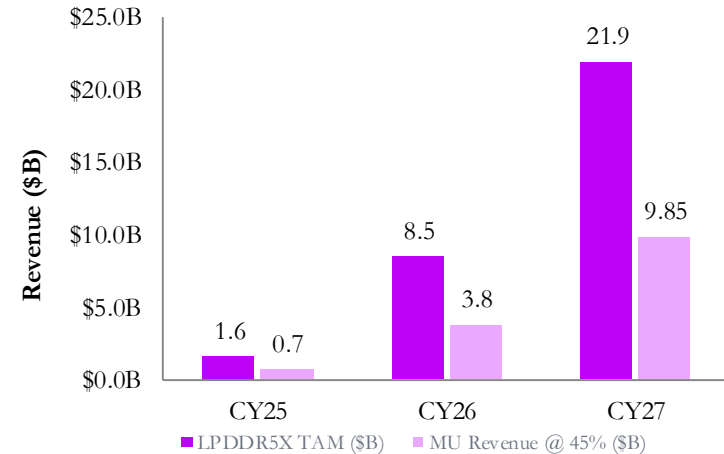
NVIDIA spec sheets (nvidia.com/en-us/data-center/vera-rubin-nvl72, developer.nvidia.com/blog/inside-the-nvidia-rubin-platform). Jukan @jukan05 (4/14/26) cites 220 TB for a specific NVL144 Kyber configuration variant.

Why Micron Wins

- Largest supplier at NVIDIA: Micron holds 40-50% share of SOCAMM2/LPDDR5X into NVDA Vera CPU per industry checks - Hynix ~30-35%, Samsung the balance. Inverse of HBM4 where Micron is <20%.
- Mobile-heritage expertise: LPDDR5X is Micron's multi-decade mobile DRAM business. Singapore packaging capability gives Micron a structural advantage.
- TAM extending beyond NVIDIA: Qualcomm + AMD announced SOCAMM2 adoption. Vera CPU memory standard becoming industry-wide.
- Spillover extends the DRAM cycle: NVIDIA consumption is so large it's causing smartphone LPDDR shortage - DRAM contract prices +90-95%

Micron Revenue Build

Micron SOCAMM2 Revenue - Base Case 45% Share



Why Markets Missed It

- While the Street focuses on HBM4 market share (where Micron is 3rd behind Hynix and Samsung), the larger revenue opportunity is SOCAMM2 (where Micron is #1). NVIDIA's Vera CPU consumes 3x more memory than the CPU in GB200, and Rubin Ultra's NVL576 scales 21x total per rack vs Blackwell. Even at our conservative 45% share with realistic VR300 ramp, this product alone adds ~\$9.9B revenue by CY27 (~9% of Micron revenue). At Edgewater's high-end 50% share + full target ramp: \$18.3B (~17%).
- "People who think the DRAM supercycle will end in 1H next year don't know what they're talking about." - Jukan (@jukan05)

Risks & Catalysts

While memory cycle risk and competitive dynamics remain real, contracted revenue floors and a clearly defined catalyst calendar support the risk/reward at current levels

Key Risks & Mitigants

Risk	Bear Case	Mitigant
Samsung Closes HBM4 Yield Gap	Bear Samsung's R&D resources are unlimited. Qualification at Nvidia compresses both Micron's market share and ASP premium simultaneously.	Mitigant Samsung HBM4 yield <60% vs 1c DRAM >80%. Samsung cannot scale HBM4 supply for NVIDIA in CY26.
	Bear AI monetization unproven at scale. A single negative capex guide from Microsoft, Google, or Amazon signals demand destruction across HBM supply chain.	Mitigant 78% of revenue contracted; inference demand growing independently of training; Goldman models 4.9% DRAM undersupply - tightest in 15+ years.
Hyperscaler CapEx cliff	Bear Every prior memory cycle has rolled over. 81% gross margins and \$25B+ CapEx are historically unsustainable and set up the next oversupply.	Mitigant HBM contracted structure, 3-to-1 wafer trade ratio, and supply constraints through 2027. Customer-initiated LTAs are different from prior-cycle supplier-initiated LTAs

Catalyst Calendar

JUN 26 FQ3-26 Earnings

Validates \$33.5B revenue guide: a single quarter larger than all of FY2024. Beat forces market re-rating.

DEC 26 CHIPS Act Buyback Easing

Removes ~\$1.5B/yr cap. With \$30B+ FCF and \$16B+ net cash, aggressive buyback acceleration lifts EPS materially.

CY 27 HBM4E Volume Ramp

50%+ bandwidth increase over HBM4 drives next ASP uplift and another leg of margin expansion.

Ongoing Additional Multi-Year SCAs

Each new agreement extends contracted revenue visibility and reduces the cyclicity discount in the stock.

Ongoing SK Hynix HBM4 Pullback

SK Hynix is cutting HBM4 shipments to Nvidia by 20-30%, redirecting that volume to HBM3E

Financial Forecast & Valuation

Micron's contracted revenue model and SOCAMM2 lock-in support normalized CY27 EPS power of ~\$100. At a conservative 6.75x through-cycle multiple (low end of historical DRAM trough), this implies a \$675 target - 45% upside.

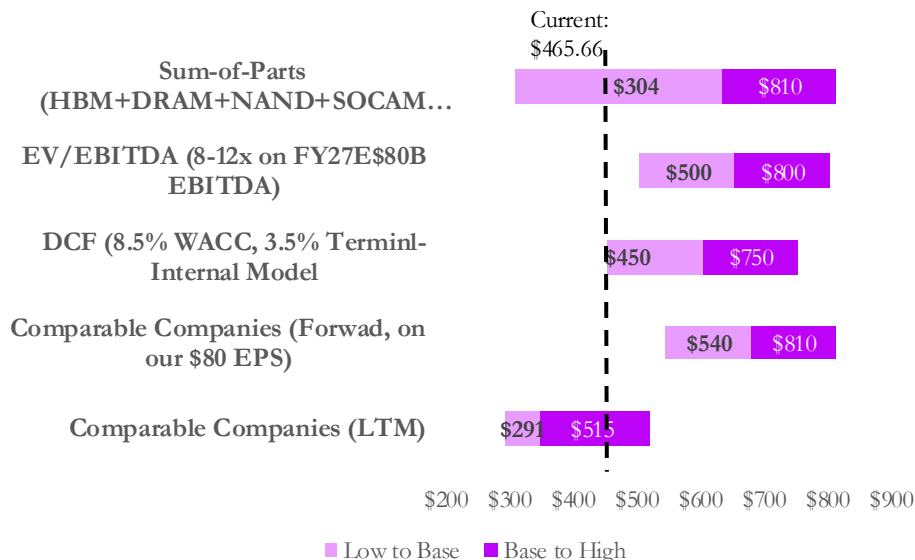
CY27 Rev Build (\$B)-Anchored to Theses

Segment	CY27E	Driver
HBM	\$25	28% MU share of \$90B HBM TAM (CY28 trajectory pulled forward); HBM4 + early HBM4E ramp
Non-HBM DRAM	\$60	Contracted LTA pricing + sustained shortage; Micron 22% DRAM share × industry TAM
NAND	\$28	Mid-cycle pricing recovery; demand outstrips supply through CY27
SOCAMM2/LPDDR5X	\$13	NVIDIA Vera CPU 50% share (Edgewater high-end); see Thesis D
Other (auto/embedded/robotics)	\$5	Auto memory + new robotics vector
Total CY27E Revenue	~\$131 B	+24% Y/Y vs FY26E ~\$106B

CY27 Margin & EPS Build

Metric	CY27E	Rationale
Gross Margin (Blended)	78%	HBM 88% + Non-HBM 80% + NAND 60% + SOCAMM2 80%, blended on revenue mix
Gross Profit	\$102B	\$131B × 78%
OpEx (% Rev)	4.5%	Operating leverage at scale; R&D + SG&A scale below revenue
Op Income	\$96B	\$102B - \$5.9B OpEx = \$96.3B
Tax Rate	15%	Current effective rate (Singapore + Ireland structure)
Net Income	\$82B	\$96B × (1 - 15%) + \$1B interest income on net cash
Diluted Shares	1,020M	FQ2-26 basis 1,142M - net buyback (post-CHIPS Dec 2026) - SBC offset
CY27E EPS Power	~\$80	Reported EPS path; normalizes to ~\$100 with cycle extension into CY28 + buyback acceleration

Valuation Football Field



Key Takeaways

- Current \$465.66 is below 5 of 6 methodologies. Only the LTM comps range brackets current levels; every forward-looking framework shows 25-75% upside.
- Through-cycle 6.75x multiple is conservative — DRAM peer historical mid-cycle range is 8-12x; we're using the trough-cycle multiple to account for cycle-end uncertainty. The contracted revenue floor (78%) materially de-risks the multiple downside vs. prior cycles.
- Probability-weighted target = \$675 with 25% bull / 45% base / 20% bear / 10% hard landing weighting — implies 45% upside at the base case.

Appendix

Appendix A1 — Historical P&L

	FQ1-25 Nov 2024 ACTUAL	FQ2-25 Feb 2025 ACTUAL	FQ3-25 May 2025 ACTUAL	FQ4-25 Aug 2025 ACTUAL	FQ1-26 Nov 2025 ACTUAL	FQ2-26 Feb 2026 ACTUAL	FY2025 ACTUAL	FY2026 (H1) ACTUAL
REVENUE								
Total Revenue	8,710	8,053	9,301	11,315	13,640	23,860	37,379	37,500
Revenue QoQ (%)		-7.5%	15.5%	21.7%	20.5%	74.9%		
DRAM Revenue	6,358	6,120	7,069	9,052	10,776	18,849	28,599	29,625
NAND Revenue	2,352	1,933	2,232	2,263	2,864	5,011	8,780	7,875
Other Revenue	0	0	0	0	0	0	0	0
DRAM % of Revenue	73.0%	76.0%	76.0%	80.0%	79.0%	79.0%	76.5%	79.0%
COGS								
Gross Profit	3,440	2,964	3,506	5,058	7,748	17,895	14,968	25,643
Gross Margin (%)	39.5%	36.8%	37.7%	44.7%	56.8%	75.0%	40.0%	68.4%
Research & Development	1,002	966	1,023	1,075	1,159	1,312	4,066	2,472
Selling, General & Admin	348	338	333	362	382	477	1,402	859
Total Operating Expenses	1,350	1,305	1,377	1,437	1,541	1,790	5,468	3,331
Operating Income	2,090	1,659	2,130	3,621	6,206	16,106	9,500	22,312
Operating Margin (%)	24.0%	20.6%	22.9%	32.0%	45.5%	67.5%	25.4%	59.5%
Interest Expense, net		-42	-4	12	22	50	80	130
Other Income / (Expense)		-68	-11	-68	-45	-20	-20	-40
Pre-Tax Income	1,980	1,644	2,074	3,598	6,236	16,166	9,296	22,402
Income Tax Provision	299	248	313	543	942	2,441	1,404	3,383
NET INCOME (GAAP)	1,681	1,396	1,761	3,055	5,295	13,725	7,892	19,019
GAAP EPS (Diluted)	\$1.50	\$1.25	\$1.57	\$2.70	\$4.65	\$12.02	\$7.06	\$16.68
Non-GAAP EPS (Diluted)		\$1.79	\$1.56	\$1.91	\$3.03	\$4.78	\$12.20	\$16.98
GAAP EPS (Diluted) — FY25 Actual								
MEMO ITEMS								
HBM Revenue (est. \$M)	763	918	1,272	1,991	3,087	6,082	4,945	9,049
HBM as % of DRAM Revenue	12.0%	15.0%	18.0%	22.0%	28.0%	32.0%	17.3%	30.5%
D&A (est. \$M)		1,950	2,000	2,088	2,200	2,300	2,700	5,200
EBITDA	4,040	3,659	4,218	5,821	8,706	18,806	17,738	27,512
REVENUE BY BUSINESS UNIT								
Cloud Memory BU (CMBU)					4,543	5,269	7,749	
Mobile & Client BU (MCBU)					3,760	4,264	7,711	
Core Data Center BU (CDBU)					1,577	2,388	5,087	
Automotive & Embedded BU (AEBU)					1,464	1,719	2,708	
BU GROSS MARGINS (%)								
CMBU				FQ4-25	FQ1-26	FQ2-26		
MCBU					59.0%	66.0%	74.0%	
CDBU					36.0%	54.0%	79.0%	
AEBU					41.0%	51.0%	74.0%	
					31.0%	45.0%	68.0%	

Appendix A2 — Projected P&L

	FQ3-26E Mar-May ESTIMATE	FQ4-26E Jun-Aug ESTIMATE	FQ1-27E Sep-Nov ESTIMATE	FQ2-27E Dec-Feb ESTIMATE	FQ3-27E Mar-May ESTIMATE	FQ4-27E Jun-Aug ESTIMATE	FY2026E	FY2027E
REVENUE								
Total Revenue	33,500	35,000	32,000	31,000	28,000	27,500	106,000	118,500
Revenue QoQ (%)	40.4%	4.5%	-8.6%	-3.1%	-9.7%	-1.8%		
DRAM Revenue	26,800	28,000	25,280	24,490	21,840	21,450	84,425	93,060
NAND Revenue	6,700	7,000	6,720	6,510	6,160	6,050	21,575	25,440
HBM Revenue (memo, \$M)	9,380	10,640	10,112	10,286	9,391	9,438	29,069	39,227
PROFITABILITY								
Gross Margin (%)	81.0%	78.0%	72.0%	68.0%	65.0%	63.0%		
Gross Profit	27,135	27,300	23,040	21,080	18,200	17,325	80,078	79,645
COGS	6,365	7,700	8,960	9,920	9,800	10,175		
Research & Development	1,508	1,680	1,760	1,798	1,680	1,705	5,659	6,943
Selling, General & Admin	603	700	800	837	784	825	2,162	3,246
Total Operating Expenses	2,111	2,380	2,560	2,635	2,464	2,530	7,821	10,189
Operating Income	25,025	24,920	20,480	18,445	15,736	14,795	72,256	69,456
Operating Margin (%)	74.7%	71.2%	64.0%	59.5%	56.2%	53.8%	68.2%	58.6%
Interest Expense, net		-10	-10	-10	-10	-10	-10110	-40
Other Income		25	25	25	25	25	25	25
Pre-Tax Income	25,040	24,935	20,495	18,460	15,751	14,810	72,391	69,441
Tax Provision (15.1%)	3,781	3,765	3,095	2,787	2,378	2,236	10,931	10,486

| Appendix A2 — Projected P&L

NET INCOME	21,259	21,170	17,400	15,673	13,373	12,574	61,460	58,955
Non-GAAP EPS (Diluted)	\$19.15	\$18.81	\$15.57	\$14.15	\$12.20	\$11.61	\$54.94	\$53.52
FY Revenue YoY (%)							183.6%	11.8%

Appendix A3 — Balance Sheet & Cash Flow

	FQ2-25 Feb 2025	FQ4-25 Aug 2025	FQ1-26 Nov 2025	FQ2-26 Feb 2026	FQ3-26E May 2026	FQ4-26E Aug 2026
ASSETS						
Cash & Cash Equivalents		7,552	9,642	12,000	9,642	10,442
Short-Term Investments		663	665	5,500	7,058	8,000
Total Cash & Investments	8,215	10,307	17,500	16,700	18,442	21,292
Inventory		9,007	8,355	8,200	8,000	8,000
PP&E, net		42,528	46,590	48,000	50,000	48,000
Total Assets		73,053	82,798	80,000	82,798	92,000
LIABILITIES & EQUITY						
Total Debt		14,355	14,577	11,800	10,100	9,500
Total Equity		48,633	54,165	50,000	54,165	65,000
KEY BALANCE SHEET RATIOS						
Net Debt / (Net Cash)	6,140	4,270	-5,700	-6,600	-8,942	-12,292
CASH FLOW SUMMARY						
	FQ1-26	FQ2-26	FQ3-26E	FQ4-26E	FY2026E	
Operating Cash Flow		8,410	11,900	17,000	18,000	55,310
Capital Expenditures		-4,500	-5,000	-7,000	-8,500	-25,000
Free Cash Flow	3,910	6,900	10,000	9,500	30,310	
FCF Margin (%)		28.7%	28.9%	29.9%	28.4%	
CAPITAL RETURN						
Share Buybacks		-300	-350	-400	-500	-1,550
Dividends Paid		-131	-171	-171	-171	-644
Debt Paydown		-2,770	-1,600	-600	-500	-5,470
KEY CASH FLOW METRICS						
CapEx Intensity (CapEx/Rev)	80.3%	63.0%	61.8%	70.8%		
FY2026E Gross CapEx (\$M)		25,000				

Appendix B1 — Supply Model

Fab Location	Product Type	Current Node	Wafer Starts (K /month)	Target Node (CY2026)	Target Node (CY2027)	Bits/Wafer Improvement	Notes / Risk
Boise, Idaho (existing)	DRAM	1-beta		401-gamma	1-gamma	+30%	Primary U.S. DRAM site; 1-gamma ramp H1-2026
Hiroshima, Japan	DRAM (EUV)	1-gamma		551-gamma	1-delta prep	+30% (done)	First EUV fab; 1-gamma volume production; fastest yield ramp in history per mgmt
Taiwan (Taichung)	DRAM	1-beta/1-gamma		601-gamma	1-gamma	+30%	RISK: Taiwan Strait geopolitical; ~25% of DRAM bit output
Taiwan (Tongguo, acquired)	DRAM	Under equip.		0Equipment install	1-gamma qual	N/A	Acquired site; cleanroom construction CapEx; volume 2028+
Singapore	NAND + HBM pkg	232L/300L		35300L NAND	300L+	+20%	Advanced HBM packaging facility; HBM supply contribution CY2027 per mgmt
Manassas, Virginia	DRAM (legacy)	1-alpha		151-alpha	1-alpha	N/A	\$275M CHIPS PMT; onshoring legacy DRAM for defense/auto
Idaho Fab 1 (NEW)	DRAM	Construction		0Tool install	Wafer output H2-2027	N/A	Under construction; part of \$150B 20-yr Idaho investment; wafer out H2-2027
New York (Clay) Fab 1	DRAM	Planning		0Construction start late 2026	Vertical 2027	N/A	\$3.4B CHIPS grant allocation (reduced from \$4.6B); on line ~2030
India (Sanand, Gujarat)	ATMP only	N/A (packaging)		014M units/wk ramp	Full capacity	N/A	\$2.75B ATMP facility; production started Feb 2026; HBM module packaging
Malaysia	ATMP	N/A		0Ongoing	Ongoing	N/A	Assembly/testing/packaging supports all product lines

NODE TRANSITION MIX (% of DRAM bit output)

Node	CQ1-26	CQ2-26	CQ3-26	CQ4-26	CQ1-27	CQ2-27	CQ3-27	CQ4-27
1-alpha (legacy)	100%	8.0%	5.0%	3.0%	2.0%	1.0%	1.0%	0.0%
1-beta	500%	570%	250%	170%	130%	9.0%	6.0%	4.0%
1-gamma (EUV)	49%	35%	70%	80%	83%	88%	94%	90%
1-delta (EUV, next gen)	0.0%	0.0%	0.0%	0.0%	0.0%	2.0%	3.0%	6.0%

COST-PER-BIT IMPROVEMENT BY NODE

Node Transition	Cost/Bit Improvement	Key Technology	Risk Factor
1-alpha → 1-beta	1518%	DUV litho optimization	Low — mature transition
1-beta → 1-gamma	1822%	First EUV layer introduction	Medium — EUV yield ramp; FASTEST ramp in MU history
1-gamma → 1-delta	15-20% (est.)	Multi-layer EUV; High-NA EUV potential	High — EUV cost overrun risk; timeline uncertain

HBM WAFER ALLOCATION & TRADE RATIO

HBM Generation	Stack Height	Capacity/Stack	Trade Ratio (vs DDR5)	Per-Die Yield	Stack Yield	Volume Status
HBM3E	8-11gh	24 GB	3.0x	93%	60%	Full volume; majority of CY2025 shipments
HBM3E 12-11gh	12-11gh	36 GB	4.5x	93%	54%	Volume shipping; dominant in PQ2-26
HBM4 12-11gh	12-11gh	36 GB	4.8x	92%	38%	Volume shipments began CQ1-2026; >60% BW vs HBM3E
HBM4 16-11gh	16-11gh	48 GB	6.0x	90%	19%	Sampled; yield is key challenge
HBM4E	12/16-11gh	48-64 GB	5.5x (est.)	TBD	TBD	In development; volume ramp CY2027

Stack Yield Formula: #NAME? eg., 95%*8 = 60%, 95%*12 = 54%, 92%*12 = 38%

INDUSTRY DRAM SUPPLY/DEMAND BALANCE

	CY2024	CY2025	CY2026E	CY2027E
Industry DRAM Bit Supply Growth	8.0%	120%	140%	180%
Industry DRAM Bit Demand Growth	15.0%	20%	25%	20%
Supply/Demand Spread (= supply)	-7.0%	-8.0%	-11.0%	-2.0%

Appendix B2 — Bit Economics

DRAM & NAND BIT-LEVEL ECONOMICS

Bottom-up revenue decomposition: Bits Shipped
x ASP/bit = Revenue | The physics-to-revenue
bridge

DRAM BIT ECONOMICS

	FQ1-25 (A)	FQ2-25 (A)	FQ3-25 (A)	FQ4-25 (A)	FQ1-26 (A)	FQ2-26 (A)	FQ3-26E	FQ4-26E	FQ1-27E	FQ2-27E
DRAM Wafer Starts (K/month)	165	168	170	172	175	178	188	195	203	188
Bits/Wafer Index (1-beta = 100)	100	102	106	112	120	128	135	140	145	145
DRAM Bit Output Growth QoQ (%)		3.9%	5.2%	6.9%	9.0%	8.5%	11.4%	7.6%	6.3%	-6.1%
HBM Wafer Allocation (K/month)	12	14	16	20	25	32	38	42	45	48
Effective Trade Ratio (HBM vs DDR5)	3.0x	3.0x	3.2x	3.5x	3.8x	4.2x	4.5x	4.5x	4.8x	4.8x
DDR5-Equivalent Wafers Lost to HBM	36	42	51	70	95	134	171	189	216	230
Net Commodity DRAM Wafers (K/mo)	129	126	119	102	80	44	17	6	-13	-42

DRAM ASP DECOMPOSITION

Blended DRAM ASP (\$/Gb, indexed)	1.00	1.05	1.15	1.35	1.70	2.45	3.10	3.40	3.50	3.53
ASP QoQ Change (%)		5.0%	9.5%	17.4%	25.9%	44.1%	26.5%	9.7%	2.9%	0.9%
DRAM Cost/Gb Index (1-beta = 1.00)	1.00	0.96	0.91	0.86	0.80	0.74	0.70	0.66	0.63	0.60
ASP/Cost Spread (Margin Driver)	1.00x	1.09x	1.26x	1.57x	2.13x	3.31x	4.43x	5.15x	5.56x	5.88x

DRAM REVENUE BRIDGE (Bottom-Up Check)

Volume Effect (bit growth x prior ASP)	0.04	0.05	0.08	0.12	0.14	0.28	0.23	0.22	-0.21	
Price Effect (ASP change x prior volume)	0.05	0.09	0.16	0.24	0.40	0.24	0.09	0.03	0.01	
Revenue Growth Attribution										

NAND BIT ECONOMICS (Condensed)

	FQ1-25 (A)	FQ2-25 (A)	FQ3-25 (A)	FQ4-25 (A)	FQ1-26 (A)	FQ2-26 (A)	FQ3-26E	FQ4-26E	FQ1-27E	FQ2-27E
NAND Wafer Starts (K/month)	35	35	35	35	36	36	37	38	38	39
NAND Layers (Current Gen)	232	232	232	232	232	276	300	300	300	300
NAND Bits/Wafer Index (232L = 100)	100	100	100	102	105	115	125	128	130	132
NAND Blended ASP Index	1.00	1.03	1.10	1.20	1.45	2.30	3.00	3.25	3.28	3.30
NAND ASP QoQ Change (%)		3.0%	6.8%	9.1%	20.8%	58.6%	30.4%	8.3%	0.9%	0.6%

Appendix B3 — HBM Contracts

HBM CONTRACT & COMMITTED REVENUE FLOOR

Quantifies the structural floor under Micron's revenue from contracted HBM

HBM TOTAL ADDRESSABLE MARKET (\$B)

	CY2024	CY2025E	CY2026E	CY2027E	CY2028E
Industry HBM TAM (\$B)	16	35	55	77	100
Micron HBM Market Share (%)	15.0%	21.0%	25.0%	26.0%	27.0%
Micron HBM Revenue (\$B)	2.4	7.4	13.8	20.0	27.0

HBM CUSTOMER BASE (6 customers per mgmt)

Customer	Platform	HBM Gen Required	Est. % of MU HBM Rev	Contract Type	Risk Level
NVIDIA	Blackwell → Vera Rubin	HBM3E → HBM4	45-50%	Multi-year SCA	Low
AMD	MI350/MI400 AI accelerators	HBM3E → HBM4	15-20%	Volume agreement	Low-Med
Google (TPU)	TPU v6/v7 custom silicon	HBM3E/HBM4	10-15%	Volume agreement	Medium
Amazon (Trainium)	Trainium 3+ custom chip	HBM3E/HBM4	8-12%	Volume agreement	Medium
Microsoft (Maia)	Maia AI accelerator	HBM4	5-8%	Volume agreement	Medium
Meta (MTIA)	MTIA custom silicon	HBM3E/HBM4	5-8%	Volume agreement	Medium

KEY MANAGEMENT DISCLOSURES ON HBM CONTRACTS

CY2026 HBM 100% committed

First 5-year SCA signed

50-65% of customer demand satisfied

HBM TAM \$100B by CY2028

Singapore HBM pkg CY2027

India ATMP operational Feb 2026

HBM4 volume CQ1-2026

INDUSTRY-WIDE LONG-TERM SUPPLY AGREEMENTS (April 2026)

Buyer	Supplier	Products	Duration	Terms	Status
Microsoft	SK Hynix	DDR5 + HBM	3 years	Tens of trillions KRW	Final-stage negotiations
Google	SK Hynix	HBM + commodity DRAM	Multi-year	Not disclosed	In discussions
Microsoft	Samsung	Memory (DRAM+HBM)	3-5 years	Large advance payments	Negotiating
Google	Samsung	Memory (DRAM+HBM)	3-5 years	Large advance payments	Negotiating
Multiple	Micron		5 years (first)	Price+volume locked	SIGNED

Appendix B4 — SOCAMM2 / LPDDR5X TAM

Platform	TB per rack	Gb per rack	\$/Gb CY26E	\$ per rack	Source
GB200 NVL72 (Grace Blackwld)	17.0	139,264		\$1.60\$22,822	NVIDIA spec; 36 Grace CPU × 480 GB LPDDR5X
VR200 NVL72 (Vera Rubin)		54,042,368		\$1.60\$707,789	NVIDIA spec; 36 Vera CPU × 1.5 TB LPDDR5X
VR300 NVL576 (Rubin Ultra)		365.02,990,080		\$1.65\$4,933,632	NVIDIA NVL576 spec; Julian cites 220 TB for smaller NVL144 Kyber config

SECTION 2 — NVIDIA RACK SHIPMENT FORECAST (triangulated)

Scenario	CY25 GB200	CY26 VR200	CY27 VR200	CY27 VR300	Comment
Bear		5,000	8,000	6,000	3,000Hyperscaler capex digestion; Rubin ramp slower than planned.
Base		7,000	12,000	10,000	3,000Base downgraded to 3k VR300 per Edgewater 4/14/26; actual NVDA ships ~50% of 4-5M GPU target.
Bull		9,000	18,000	15,000	10,000Sovereign AI + TurboQuant optimization expands GPU deployments.

SECTION 3 — NVIDIA LPDDR5X TAM (\$B) = RACKS × \$/RACK

Scenario	CY25 TAM	CY26 TAM	CY27 TAM (VR200+VR300)	Note
Bear	\$1.1	\$5.7	\$19.0	Total NVDA SOCAMM2/LPDDR5X TAM (\$B)
Base	\$1.6	\$8.5	\$21.9	Total NVDA SOCAMM2/LPDDR5X TAM (\$B)
Bull	\$2.0	\$12.7	\$60.0	Total NVDA SOCAMM2/LPDDR5X TAM (\$B)

SECTION 4 — MICRON REVENUE FROM NVIDIA SOCAMM (\$B)

Micron share per Edgewater 4/14/26: 40-50% (LARGEST supplier)

Scenario + Share	CY25	CY26	CY27	% of MUFY26 Rev (\$106B)	% of MUFY27 Rev (\$110B est)
Bear 40%	\$0.4	\$2.3	\$7.6	2.1%	6.9%
Bear 50%	\$0.6	\$2.8	\$9.5	2.7%	8.7%
Base 40%	\$0.6	\$3.4	\$8.8	3.2%	8.0%
Base 50%	\$0.8	\$4.2	\$10.9	4.0%	9.9%
Bull 40%	\$0.8	\$5.1	\$24.0	4.8%	21.8%
Bull 50%	\$1.0	\$6.4	\$30.0	6.0%	27.3%

Appendix C1 — Debt Schedule

OUTSTANDING DEBT TRANCHES (as of HQ 2-26)

Debt Instrument	Original Asset ID#	Outstanding (\$M)	Coupon (%)	Maturity	Notes Col. Date	YTM (as of)	Notes
2025 Senior Notes (4.15%)		1,000	0	4.25%Feb 2025	N/A	N/A	REFINED
2026 Senior Notes (4.648%)		1,500	750	4.67%Feb 2026	At maturity		4.67%Out paydown
2027 Senior Notes (5.327%)		1,750	1,750	5.37%Jun 2027	Jul 2026		5.37%Out maturing
2028 Senior Notes (4.508%)		1,000	1,000	4.37%Sep 2028	Mar 2028		4.37%Out maturing
2029 Senior Notes (6.788%)		2,000	800	6.8%Nov 2029	Aug 2029		6.37%Also owned \$1.2B in F Q2-26
2030 Senior Notes (5.378%)		1,500	1,100	5.4%Apr 2030	Jun 2030		5.47%Partial redemptions HQ 2-26
2031 Senior Notes (4.78%)		1,250	1,250	4.87%Feb 2031	Nov 2030		4.87%Out maturing
2032 Senior Notes (5.878%)		1,500	1,500	5.97%Sep 2032	Jun 2032		5.97%Out maturing
2033 Senior Notes (5.308%)		1,250	1,250	5.37%Jun 2033	Oct 2032		5.37%Out maturing
Other (revolver, misc)		700	700	5.57%Various	Various		5.57%\$3.5B revolver and term
TOTAL OUTSTANDING DEBT		15,800					
Weighted Avg. Coupon (%)		3.3%					
Weighted Avg. Maturity (Years)			4.8				

MATURITY WALL (\$M coming due)

	F Y2026 (Item amount)	F Y2027	F Y2028	F Y2029	F Y2030	F Y2031	F Y2032+
Maturing Debt	750	1,750	1,000	1,000	800	1,100	3,450
Prepared Paydown (from FCF)	750		-1,750	-1,000	-800	-1,100	-3,450
Remaining Debt Outstanding	10,800	10,800	10,800	10,800	10,800	10,800	10,800
NET DEBT / (NET CASH) TRAJECTORY							
	F Q4-26 (Actual)	F Q4-26E	F Q4-27E	F Q4-28E			
Total Debt	10,100	10,100	9,000	8,000	2,000		
Cash & Investments	16,700	23,000	40,000	50,000	50,000		
NET DEBT / (NET CASH)	-6,600	-16,900	-30,000	-48,000			
Net Debt / EBITDA	-0.2x	-0.2x	-0.3x	-0.8x	-1.2x		

NOTE: Micron owned \$4.37B of debt in H1-FY2026. At \$35B+ FCF run-rate, the entire debt structure will be retired by FY2028.

QUARTERLY INTEREST EXPENSE BUILD (M)

Debt Tranche	Coupon	Outstanding (\$M)	F Q3-26E	F Q4-26E	F Q1-27E	F Q2-27E	F Q3-27E	F Q4-27E
2026 Notes (4.64%)		4.6%	750	750	0	0	0	0
2027 Notes (5.327%)		5.3%	1,750	1,750	1,750	0	0	0
2028 Notes (4.50%)		4.5%	1,000	1,000	1,000	1,000	1,000	1,000
2029 Notes (6.78%)		6.8%	800	800	800	800	800	800
2030 Notes (5.375%)		5.4%	1,100	1,100	1,100	1,100	1,100	1,100
2031 Notes (4.78%)		4.8%	1,250	1,250	1,250	1,250	1,250	1,250
2032 Notes (5.875%)		5.9%	1,500	1,500	1,500	1,500	1,500	1,500
2033 Notes (5.30%)		5.3%	1,250	1,250	1,250	1,250	1,250	1,250
Other / Revolver		5.5%	700	700	500	400	300	200

INTEREST EXPENSE BY TRanche (\$M/quarter)

2026 Notes (4.64%)	0	0	0	0	0	0
2027 Notes (5.327%)	23	23	9	0	0	0
2028 Notes (4.50%)	11	11	11	11	11	11
2029 Notes (6.78%)	14	14	14	14	14	14
2030 Notes (5.375%)	15	15	15	15	15	15
2031 Notes (4.78%)	15	15	15	15	15	15
2032 Notes (5.875%)	22	22	22	22	22	22
2033 Notes (5.30%)	17	17	17	17	17	17
Other / Revolver	10	7	6	5	5	5
TOTAL QUARTERLY INTEREST EXPENSE	135	123	98	97	96	94
INTEREST COVERAGE & CREDIT METRICS						
Quarterly EBITDA (\$M/quarter)		30,000	30,000	22,000	20,000	19,000
Interest Coverage (EBITDA/Interest)	223.9%	243.6x	223.4x	206.6x	198.5x	198.8x
Fixed Charge Coverage	47.3x	48.5x	36.8x	33.3x	31.5x	30.3x

Appendix C2 — Working Capital

INVENTORY

Raw Materials (\$M)	1,200	1,100	1,000	900	850	900	950
Work-in-Process (\$M)	3,800	4,000	3,800	3,600	3,500	3,600	3,800
Finished Goods (\$M)	3,200	3,700	3,700	3,700	3,650	4,000	4,250
Total Inventory (\$M)	8,200	8,800	8,500	8,200	8,000	8,500	9,000

DAYS INVENTORY OUTSTANDING (DIO)

Quarterly COGS (\$M)	4,911	6,136	5,892	6,084	6,365	7,700	8,400
Days Inventory Outstanding	150	129	130	121	113	99	96
DIO Signal	NORMAL	TIGHTENING	TIGHT	VERY TIGHT	TIGHT	NORMALIZING	WATCH

OTHER WORKING CAPITAL

Accounts Receivable (\$M)	4,500	5,500	6,500	10,000	13,000	14,000	12,000
Days Sales Outstanding (DSO)	0	0	1	1	1	1	1
Accounts Payable (\$M)	2,800	3,200	3,500	4,500	5,500	6,000	5,500
Net Working Capital (\$M)	9,900	11,100	11,500	13,700	15,500	16,500	15,500
NWC Change QoQ (Cash Use if +)		1,200	400	2,200	1,800	1,000	-1,000

WATCH SIGNAL: DIO rising above 130 while ASPs flatten =...

CASH CONVERSION CYCLE (CCC)

	FQ2-25 (A)	FQ4-25 (A)	FQ1-26 (A)	FQ2-26 (A)	FQ3-26E	FQ4-26E	FQ1-27E
(+) Days Inventory Outstanding	150	129	130	121	113	99	96
(+) Days Sales Outstanding		50	44	43	38	35	36
(-) Days Payable Outstanding		52	48	50	55	58	55
CASH CONVERSION CYCLE (days)	148	125	123	104	90	80	82

Appendix C3 — Share Count Bridge

	2023-2024	2024-2025	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030
Basic Shares Outstanding (M)	1,105	1,107	1,126	1,138	1,152	1,167	1,183
SEC Dilution (new shares/ qtr. M)	5	5	5	5	5	5	5
Total Dilutive Shares Added (M)	8	8	8	8	8	8	8
Buyback Shares Retired (M)	-1.1	-1.0	-0.9	-0.9	-3.8	-4.3	-7.1

Adjusted Shares Outstanding (M)	1,140	1,147	1,161	1,173	1,187	1,202	1,218
Check vs. Assumptions Table	1,138	1,142	1,145	1,148	1,150	1,158	1,165
Variance (should be ~0)	2	0	7	13	33	44	11.3

BUYBACK CAPACITY ANALYSIS

Annual FCF (\$B)	35	30
CapEx (\$B)	25	29
Dividends (\$B)	-0.7	-0.8
Data Service (\$B)	-2.0	-1.0
Max Available for Buybacks (\$B)	57.4	67.2
CHIPS Act Constraint	~\$12B/yr from until Dec 2026	Fully unconstrained post-Dec 2026

POST-CHIPS RESTRICTION: 0 net buyback restrictions are...

TREASURY STOCK METHOD — DILUTIVE SECURITIES DETAIL

Security Type	Shares Granted (M)	Wtd. Avg. Exercise Price (\$)	In-the-Money at 100% (M)	Dilutive Shares (M)	TSM Shares Added (M)	
Stock Options (outstanding)	12		\$0.0000		121	Drop in the money; exercise price well below current
RSUs (unvested)	18		\$0.0000 (zero)		18	100% always dilutive; no exercise price
PSUs (performance-based)	5		\$0.0000 (zero)		3	~60% expected to vest based on current trajectory
ESPP shares	3		YES		2	2 Employee stock purchase plan; 15% discount
Total Dilutive Securities (DSM)					144	

RSU VESTING SCHEDULE (if assumed)

	2023-2024	2024-2025	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030	FY2030 Total
RSU Vesting (M shares)	4.5	5.0	4.5	4.0	4.5	3.0	3.0	34.0
SB Capex (\$M)	675	730	675	600	675	730	730	
SB Capex % of Revenue	2.0%	2.0%	1.9%	2.2%	2.4%	2.3%	2.0%	

EPS SENSITIVITY TO SHARE COUNT

Diluted Shares (M)	1,095	1,118	1,118	1,118	1,118	1,118	1,118
FY2027E Net Income (\$B)	42						
Implied EPS (\$)	\$38.36	\$38.01	\$37.67	\$37.33	\$37.00	\$36.78	\$36.52
EPS Impact vs Base (\$/share)	\$1.35	\$1.00	\$0.66	\$0.33	\$0.00	-\$0.23	-\$0.48